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PRIVATE CREDIT MARKET OUTLOOK

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Massey University Investment Club

PRIVATE CREDIT MARKETS: A GROWING RISK

About MUIC

Massey University Investment Club (MUIC) is a student-led organization on the Albany campus at Massey University. Through weekly discussions, market outlooks, and industry engagement, MUIC aims to bridge academic learning with real-world finance.

Editorial Note

This report is prepared for educational purposes only by the MUIC research team to provide a student-driven perspective on financial markets. The objective is to enhance analytical thinking and encourage discussion within the club.

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EXECUTIVE SUMMARY

$1.8T	6×	20%+
Private Credit Market Today	Market Growth in 10 Years	Exposure to Software Cos.

Private credit has grown from a niche institutional asset class into a $1.8 trillion market, and it is now showing the early signs of a credit cycle. This report examines the structural risks embedded in the asset class: the suitability of retail distribution, the emerging credit cycle, concentrated exposure to AI-disrupted software companies, and the opacity that makes the true scale of risk difficult to assess until losses appear.

1. WHAT IS PRIVATE CREDIT?

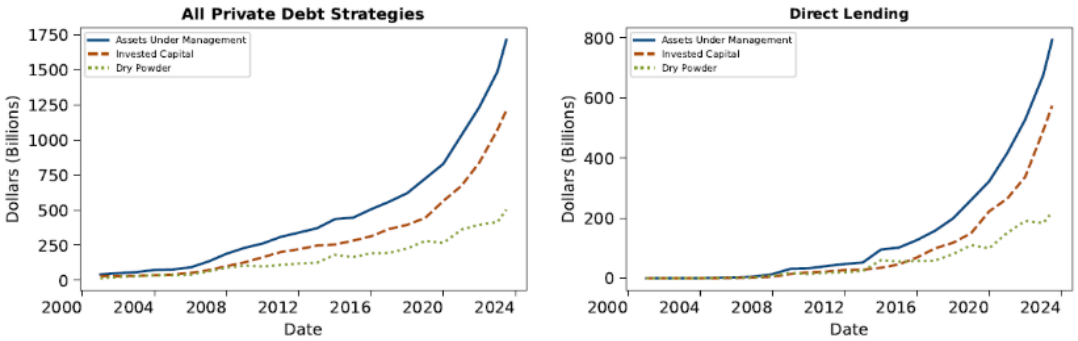
Private credit refers to loans made by non-bank lenders, such as private equity firms and Business Development Corporations (BDCs), directly to companies. Unlike public bonds or bank loans, these transactions occur privately, meaning information is scarce until problems emerge. The terms private credit and direct lending are often used interchangeably, though direct lending is technically just one subsector of the broader private credit universe.

$300B	$1.8T
Market Size — 10 Years Ago	Market Size Today

The most striking feature of private credit is its explosive pace of growth. From $300 billion just a decade ago to $1.8 trillion today, a six-fold increase. Private credit now represents one of the fastest-growing segments of global capital markets. This growth has fundamentally altered the lending landscape, shifting a significant portion of credit intermediation away from regulated banks and into less-transparent private vehicles.

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Figure 1: Growth in Private Debt Allocations



Note: 'Dry Powder' refers to committed but not invested capital. Invested capital is committed & invested capital (typically in the form of loans). Assets under management is the sum of invested capital and dry powder. Data as of June 2023. AUM data reported with a 6-month lag.

Source: Preqin

2. THE THREE MAIN STRATEGIES

Private lending generally falls into three main strategies, each tailored to different risks, borrower needs, and safety measures.

STRATEGY	WHAT IT IS	EXAMPLE
Direct Lending	Loans made directly to companies, predominantly PE-backed mid-market businesses.	Majority of US direct lending funds private equity buyouts
Asset-Backed Finance	Loans secured against specific cash flows and underlying assets.	Mortgages, auto loans, equipment leases, trade receivables
Opportunistic / Distressed	Lending to companies in or near financial difficulty, accepting higher risk for superior returns.	Spin-offs, restructurings, niche or complex borrowers

3. THE LENDER LANDSCAPE

Most private credit funds are operated through Business Development Corporations (BDCs) , entities whose sole purpose is to make loans. BDCs can be publicly listed or privately held, and many are owned by large private equity firms. Congress created the BDC structure in 1980 to allow retail investors access to private credit. Those public BDCs must register with the SEC, file public financials, and operate under 2:1 leverage limits.

Often, a private equity firm can get the debt financing from its owned to acquire a company, forming a circular structure where the BDC takes the lower-risk debt position while the PE firm takes the higher-risk equity position.

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A notable example is Blackstone's BCRED, the largest private credit fund at $82.5 billion, which is a non-public BDC wholly owned by the publicly-listed Blackstone. Non-public funds restrict investors to accredited investors or qualified purchasers, allowing them to avoid SEC registration. This means: no public reporting requirements, no leverage limits under the Investment Company Act, and no mandated liquidity provisions. Private funds face none of the constraints that public BDCs must operate under.

> **"Private equity buys companies. Private credit lends money to buy those same companies. One firm does both."**
>
> **— The Circular Structure of PE-Backed Private Credit**

4. ISSUE 1 — INVESTOR SUITABILITY & LIQUIDITY MISMATCH

4.1 The Retail Expansion Problem

Historically, private credit investors were large and sophisticated institutions, such as pension funds, endowments, and sovereign wealth funds. These investors understood they were accepting illiquidity in exchange for a yield premium. That arrangement represented a fair and rational trade-off between sophisticated counterparties who understood the risks involved.

The problem began when private credit funds started marketing aggressively to retail investors, without the institutional expertise to evaluate complex, illiquid credit instruments. To create the appearance of liquidity, funds offered quarterly redemption windows but capped them at only 5–7% of assets per quarter. This created a fundamental mismatch between investor expectations and the actual product structure.

4.2 The Redemption Crisis: Every Major Fund Has Exceeded Its Cap

The data is obvious. Across every major private credit fund, investor redemption requests have far exceeded the quarterly caps. The following table shows the scale of the mismatch:

FUND	REDEMPTION DEMAND	CAP HONOURED	GAP
Blackstone BCRED	7.9%	5.0%	+2.9%
Cliffwater Corporate Lending	14.0%	5.0%	+9.0%
Morgan Stanley Northhaven	10.9%	5.0%	+5.9%
Blue Owl	15%	5.0%	+10%
Apollo Debt Solutions	11.2%	5.0%	+6.2%
Ares Strategic Credit	11.6%	5.0%	+6.6%
BlackRock HLEND	9.3%	5.0%	+4.3%

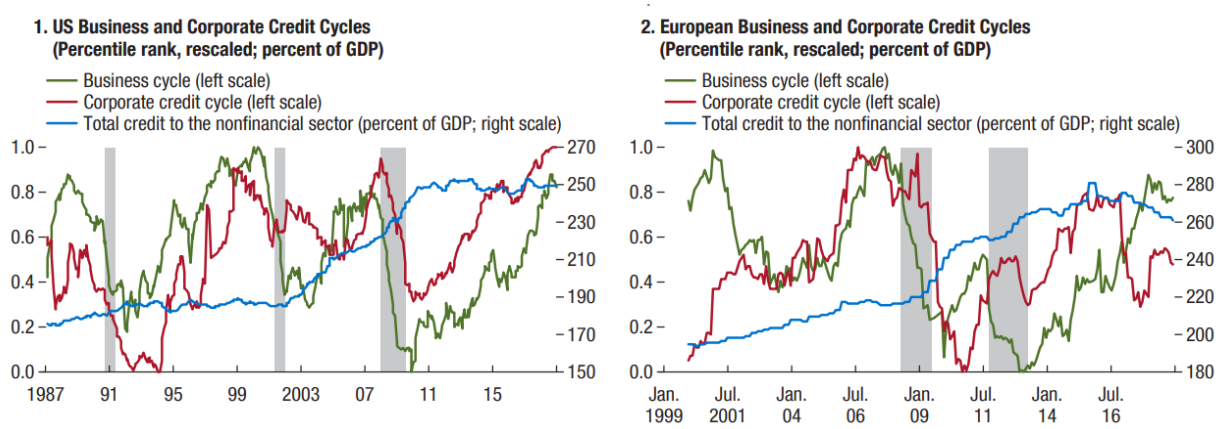
In every case, redemption demand far exceeded the quarterly cap, leaving investors unable to exit when they chose to. This structural mismatch between product design and investor expectations is a serious regulatory and reputational risk for the industry.

5. ISSUE 2 — THE EMERGING CREDIT CYCLE

A credit cycle refers to a period of rising loan losses across a lending market. The United States has not experienced a meaningful credit cycle since the Global Financial Crisis of 2008. This 17-year absence of meaningful losses has had a profound effect on the risk culture of private credit, and it is not a positive one.

When lenders make loans, they underwrite those loans with an assumed level of losses. When losses come in lower than expected, that creates excess profits. The risk is that lenders then begin to mistake this benign environment for superior skill, gradually relaxing underwriting standards and taking on more risk. After 17 years without a meaningful credit cycle, private credit executives might have lost their institutional memory of what a true credit cycle looks like.

Figure 2: Tracking the Corporate Credit Cycle



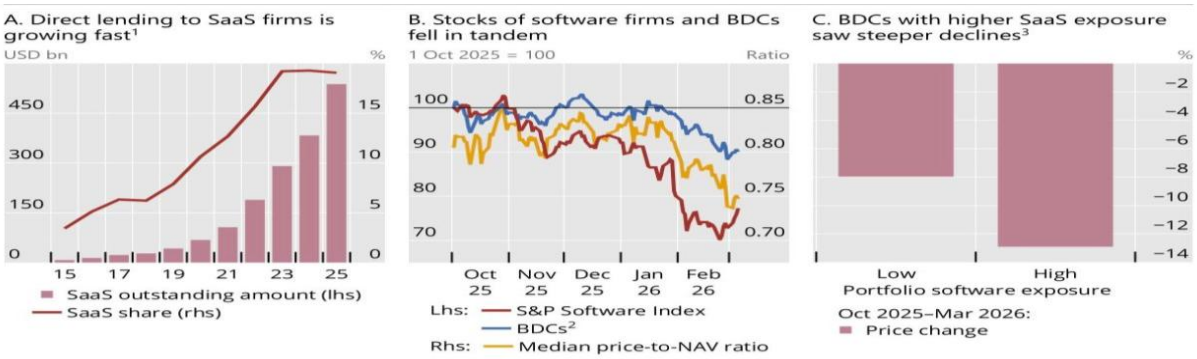
Source: International Monetary Fund

6. THE SOFTWARE EXPOSURE PROBLEM

6.1 Concentration in PE-Backed Software

Private credit funds are heavily exposed to software companies acquired by private equity between 2018 and 2022, a period of ultra-low interest rates and peak valuations. Approximately 25% of all direct lending loans are to software companies. With AI now offering similar functionality at far lower prices, the traditional software business model is under direct threat.

Figure 3: Worries about Software Stocks spilled over to Private Credit

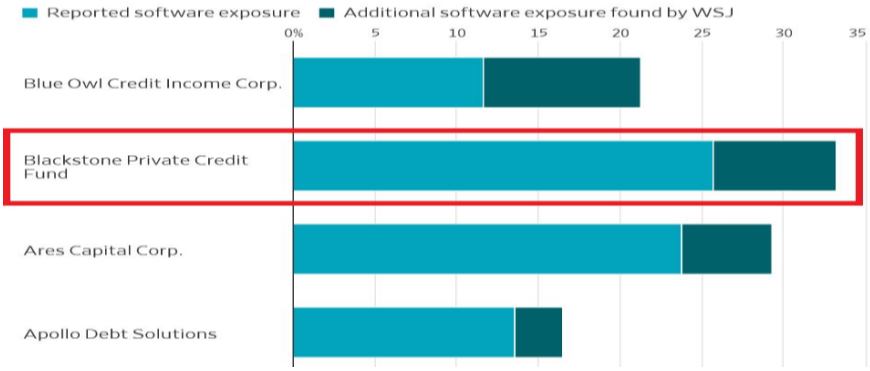


Source: US Securities and Exchange Commission; Bloomberg; LSEG Datastream; PitchBook Data Inc

6.2 Data Massaging: True Exposure Is Larger Than Reported

A Wall Street Journal investigation published in early 2026 identified a systematic tendency for private credit funds to understate their software exposure. The mechanism is straightforward: software companies that serve a specific sector (e.g., healthcare software) are classified as healthcare companies rather than software companies. The result is that reported software exposure is materially lower than actual exposure.

Figure 4: Software Loans in Private Credit Funds

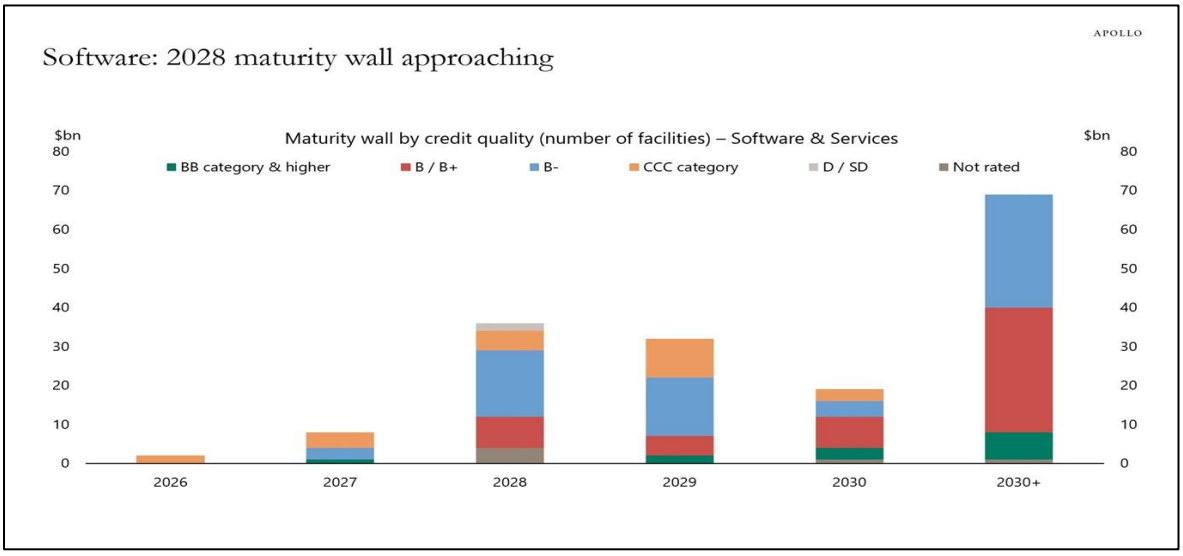


Source: PitchBook, The Wall Street Journal

6.3 The 2027–2028 Refinancing Wall

The refinancing pressure is time-bound. Approximately 11% of private credit software loans require refinancing in 2027, with another 20% coming due in 2028 (Estimated total exposure to software = 200 billions). If AI disruption continues to lower software company valuations and cash flows, many of these borrowers may be unable to refinance at acceptable terms, creating a concentrated wave of defaults and forced write-downs.

Figure 5: Maturity Wall by Credit Quality – Software & Services



Sources: PitchBook | LCD; Morningstar LSTA US Leveraged Loan Index, Apollo Chief Economist

7. OTHER WARNING SIGNS

Beyond the systemic issues of investor suitability, credit cycle risk, and software exposure, several concrete developments signal that stress is already beginning to emerge within the private credit ecosystem.

INDICATOR	DETAIL
Moody's Downgrade	Moody's downgraded a $13 billion KKR/FS Investments private credit fund to junk status, citing non-accrual loans at 5.5% of the portfolio. Non-accrual loans are loans on which the borrower has stopped making interest payments, a direct measure of credit stress.
Barclays Pullback	Barclays has scaled back asset-based lending to smaller borrowers after experiencing losses in this segment. When a major bank with deep expertise retreats from a lending market, it is a meaningful signal of deteriorating credit quality in that segment.
Carlyle's Project Ptolemy	Carlyle created a complex securitization structure ('Project Ptolemy') to allow new investors to buy out existing ones, effectively creating synthetic liquidity where none structurally exists. This is an indication of capital returning difficulty and investor pressure.
Accounting Irregularities	Go Easy, a Canadian subprime lender, was found to have recognized loan payments as revenue before those payments were actually collected. Its stock fell 60% upon disclosure. This type of accounting treatment can mask deteriorating credit quality until it becomes a crisis.

8. WHAT TO WATCH: KEY QUESTIONS FOR COMING QUARTERS

01	Will software loan losses spread beyond the initial JP Morgan markdowns? The speed and breadth of loss recognition will determine whether this is a contained problem or a systemic one.
02	Will redemption pressures force private credit funds to sell assets at distressed prices? Forced selling could trigger a negative feedback loop: lower prices → more redemption requests → further selling.
03	Will tightening lending standards (already visible at Barclays and JP Morgan) spread into a broader credit contraction? A pullback in credit availability hits the real economy through investment and M&A activity.
04	Can the 2027–2028 software loan refinancing wave be absorbed without widespread defaults? With 31% of software loans due in a two-year window, the capacity of lenders to refinance at sustainable rates will be a critical test.
05	How will mark-to-market practices evolve? Private credit funds currently self-value their portfolios. Regulatory pressure or investor scrutiny could force more conservative valuations, triggering a mark-down cycle.

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9. CONCLUSION

The signs of an emerging credit cycle are visible in private credit, the exact asset class that has seen the greatest growth since 2008. How severe that cycle becomes will depend on how AI reshapes software valuations, how quickly lenders tighten standards, and whether the concentrated refinancing wall of 2027–2028 can be navigated without widespread defaults.

The opacity of the market is both a product feature and its most dangerous flaw. Self-reported valuations, sector classification flexibility, and a 17-year absence of meaningful losses have all contributed to an environment where risk is systematically underestimated.

The key takeaway is this: the private credit market is not about to collapse overnight, but the direction of travel is concerning, the warning signs are accumulating, and the opacity of the market means that by the time problems become publicly visible, much of the damage will already have been done. This is a story still in its early chapters.

"The private credit market is not about to collapse overnight. But the direction of travel is concerning, warning signs are accumulating, and opacity means that when problems become visible, much of the damage will already have been done."

— MUIC Research Team, Semester 1, 2026

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